

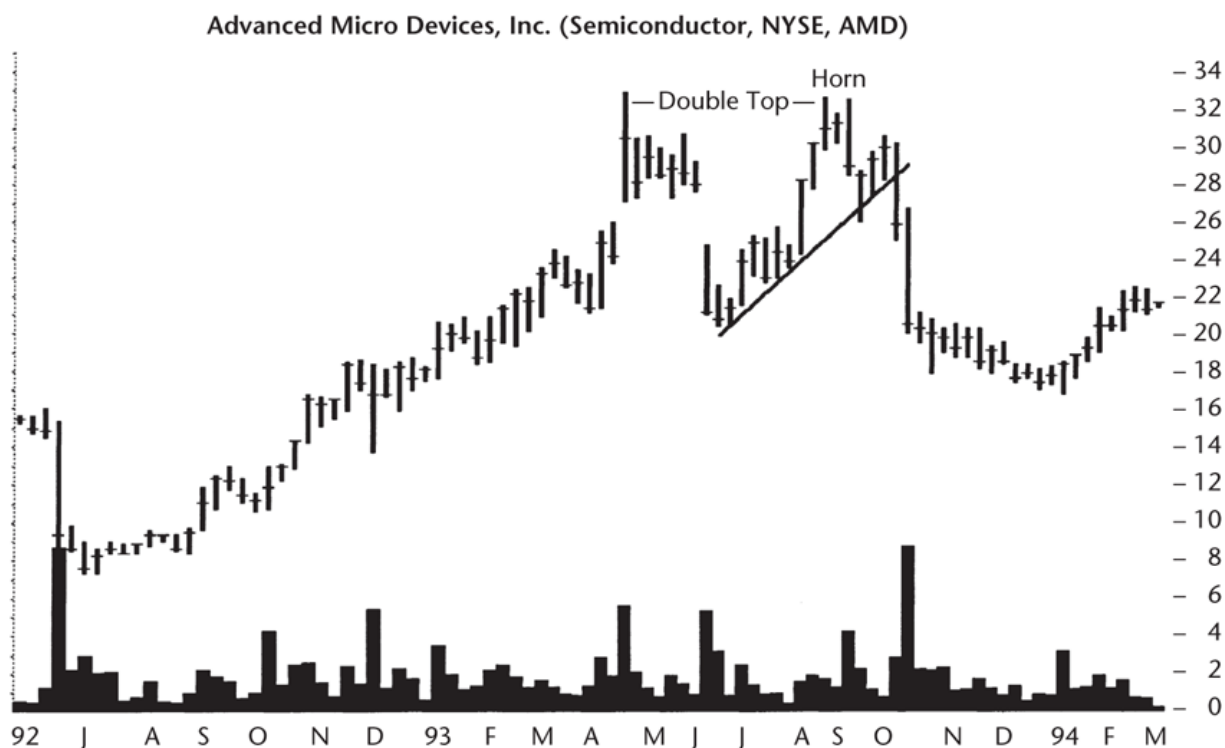


Figure 44.1 Horn top showing twin peaks. The stock drops almost in half after the horn top. Note the weekly time scale. The two peaks in April and August represent a double top.

After the twin peaks of the horn appear, price drops to 26, and then pulls back to the formation base, generally following an up-sloping trendline. Price heads down again. In the beginning of January 1994, price reaches bottom at 16.75 for a decline of almost 50%.

Identification Guidelines

Table 44.1 shows identification characteristics that make horn tops easy to recognize. Consider the horn shown in **Figure 44.2**.

Appearance. Use the weekly chart to facilitate identification. Yes, horn tops appear on the daily scales (and other scales, too), but performance is best on the weekly charts.

Look for twin price spikes that are separated by a week. The two spikes should tower above the surrounding landscape and be unusual in height (taller than other spikes encountered during the year). In the figure, you can